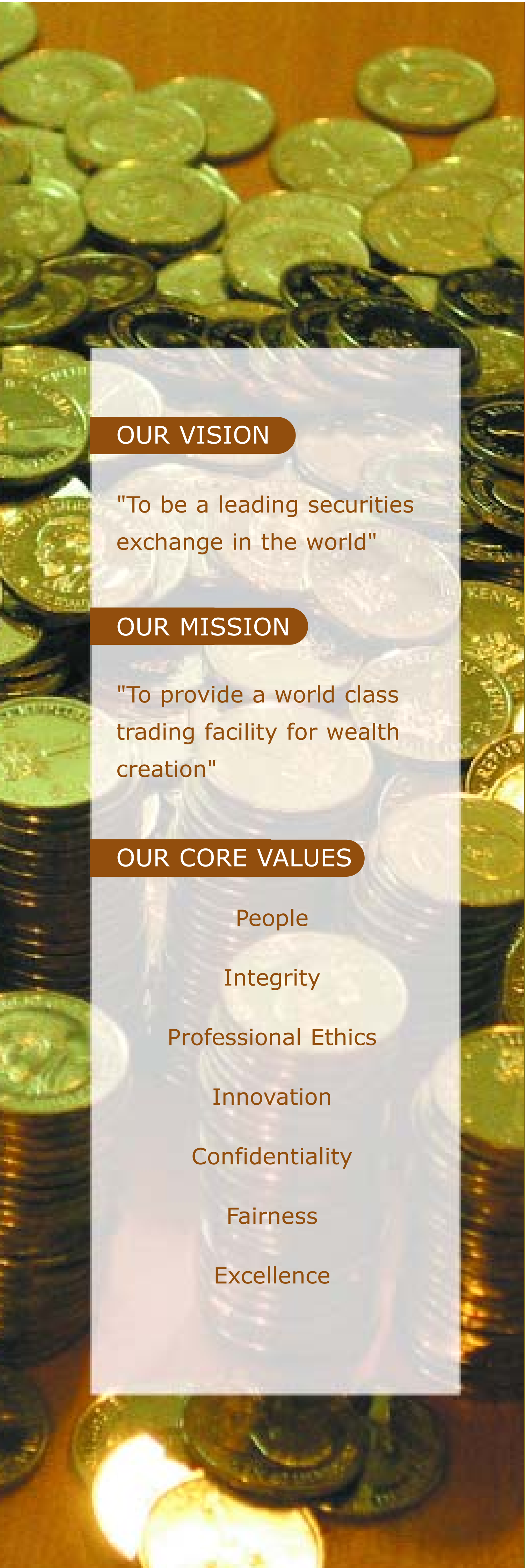
NAIROBI STOCK EXCHANGE LTD

Annual Report 2005
AND FINANCIAL STATEMENTS



OUR VISION

"To be a leading securities exchange in the world"

OUR MISSION

"To provide a world class trading facility for wealth creation"

OUR CORE VALUES

People

Integrity

Professional Ethics

Innovation

Confidentiality

Fairness

Excellence

'My share of Kenya'

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CHAIRMAN'S REPORT

M. H. Da Gama-Rose

It is my pleasure to present to you my statement for the year ending 31st December 2005 which is my first as the Chairman of the Board of Directors of the Exchange. First and with your permission, I would like to elaborate on the Exchange's vision and how by working with my Board and Management of the NSE, we intend to implement our corporate plan to move the Exchange forward.

Vision

I would like to continue where my predecessor left off and improve the vibrancy of the Exchange, by increasing both the efficacy of its service delivery and its relevance as a stimulator of economic development and wealth creation. Our main thrust would be to improve the Exchange's ability to execute trades by automating infrastructure, whilst at the same time diversifying our product offering and strengthening our relationships with other like minded institutions.

The NSE Board and management are looking forward to cementing already established contacts between ourselves and our regulator-the Capital Markets Authority (CMA). We realize we need their assistance and guidance to achieve our vision of being a leading Securities Exchange in the World as measured in terms of efficiencies and effectiveness in our value proposition to all our stakeholders. Our simple goal, is to develop a deep and efficient regional securities market, which will serve to channel domestic and international capital for investment in our economies in the East and Central Africa region and create wealth for our citizens.

In July 2005, the Board of Directors of the Nairobi Stock Exchange approved a three year corporate plan for the period 2006-2008. The two main components of the corporate plan are increased supply of product so as to achieve the following objectives (i) increase market liquidity for the trading environment; (ii) increase in market capitalisation so as to represent a larger portion of Kenya's gross domestic product by 2008 and secondly the de-mutualisation of the Exchange by the end of 2007.

Global Economic Review

The November 29 2005, Organisation for Economic Cooperation and Development (OECD) economic outlook stated that world growth broadened over the past few months of 2005. OECD GDP growth is estimated at 2.7% for 2005 and 2.9% for 2006.

In general, global growth has been exceptionally vigorous, fuelling large price increases in oil and commodities markets. In a dynamic but turbulent environment, economic performance has been highly correlated with resilience. This connection was vividly illustrated in the United States, where the economy sailed through devastating hurricanes and disruptions in energy supplies.

Looking into the future, enjoying strong and sustained world growth should not be taken for granted. Efforts are needed to nurture this "global public good" through a more open trading system and continued economic reforms. In this respect, a successful completion of the Doha Round and further progress in agricultural reforms would greatly contribute to making world growth more sustainable.

Regional Economic Review

Turning to our region, Kenya continues to nurture regional relations within bodies such as the Common Market for Eastern and Southern Africa (COMESA) and the East African Community (EAC). The EAC Customs Union came into force in January 2005, and full political federation is proposed by 2013.

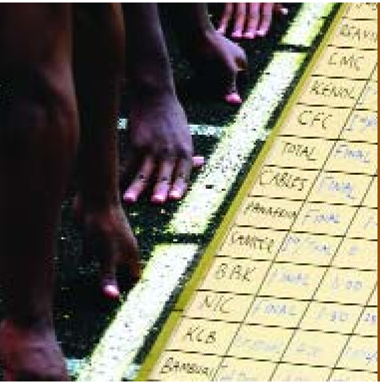
The United Republic of Tanzania successfully held its presidential and parliamentary elections on December 14 2005, with Mr. Jakaya Kikwete, and the ruling party, *Chama Cha Mapinduzi* (CCM), taking 80.28% of the vote and 264 of the 324 parliamentary seats, respectively. This follows the victory of the CCM in the October 30 2005 presidential and parliamentary elections on Tanzania's semi-autonomous archipelago of Zanzibar. There, the CCM candidate, Mr. Amani Abeid Karume, garnered 53.18% of the votes and the party won 30 out of the 50 parliamentary seats. The Republic of Uganda, the largest consumer of Kenya's exports (13.1% in 2004) held its first multiparty presidential elections in over 25 years, in February 2006.

Turning to the Sudan, besides the very important humanitarian aspects that enhanced peace, security and stability in the Sudan will bring to the region. The region has one of the biggest potential and economic growth promise. Sudan is the largest country in Africa and the ninth largest in the world. The World Bank estimates that in 2004, GDP and growth rate for Sudan were USD. 19.6 billion and 6.4% respectively compared to USD. 14.1 billion and 4.3% for Kenya. Although Sudan remains a predominantly agricultural economy, it has the potential to become the second largest producer of oil in Africa after Nigeria. If foreign oil firms working in the industry succeed in meeting their development targets, output is expected to rise to close to 750,000 barrels per day by the start of 2007.

Kenya Economic Policy Review

Economic policy during 2006 will continue to be guided by the country's poverty reduction and growth facility (PRGF) with the IMF. According to an IMF mission that visited the country in October 2005, Kenya complied with most of the loan conditions during the second year of the PRGF, and the mission would recommend that the IMF executive board authorise the release of the third and fourth tranches of the loan, worth USD. 72 million. The Minister of Finance also indicated that with regards to the negotiation of a new PRGF when the current one expires in November 2006, Kenya may instead seek a policy support instrument (PSI), a new vehicle that will serve as an IMF seal of approval for a country's policies but without involving actual IMF funding. The PSI is designed mainly to give other donors the confidence to remain engaged.

Parliament finally passed the long-awaited Privatisation Bill in August 2005, which provides the legal and institutional framework for the divestiture of state assets. In a major development for the privatisation process, and certainly for transport infrastructure, Kenya and Uganda in mid October 2005, finally chose a concessionaire to run their joint 2,350 km railways (the bulk of which lies in Kenya). The contract was awarded to Rift Valley Railways (RVR).



CHAIRMAN'S REPORT (continued)

The Exchange is also aware that the government has established the Bank Restructuring and Privatisation Project in the Ministry of Finance to serve as the implementing institution of a detailed government plan for the restructuring and privatisation of state-owned banks. In mid 2004, using the Exchange, the government was able to successfully dilute its share in Kenya Commercial Bank (KCB) from 35% to 26%, by opting not to take up its share of a new rights issue. In March 2005, the assets of the Industrial Development Bank (IDB) were sold by tender to Equity Commercial Bank.

The Exchange believes that the process used for KCB could be applied to the National Bank of Kenya, which is currently majority owned by the National Social Security Fund (48%): the government (22%) and private investors on the NSE the remaining (30%). Given the considerable interest in the institution, as NBK is now showing a profit following a number of years of heavy losses, the process would be just as successful as for KCB. An IPO or an offer for sale could also be used to list a significant stake of the Consolidated Bank of Kenya, which is 100% majority owed by the government.

The Exchange believes that the ongoing structural reforms in the agricultural and financial services sector that I have highlighted and particularly, allowing a larger role for private sector to invest in our country's infrastructure have the potential to lift the country's economic growth patterns from the current 4.5-5.5% to levels of 7.0-9.0% par annum.

This is the kind of figure that is requisite to effectively reduce poverty and create wealth in the country.

Automation of the NSE Trading System

In a bid to boost efficiency in trade execution, the Exchange has commenced the implementation of the Automated Trading System (ATS), and using the lessons learned from the automation of the clearing and settlement systems of the capital markets, we aim to complete this phase of automation during the second quarter of 2006. We believe this will certainly boost liquidity in the capital markets and at the same time smoothen changes in the prices of securities.

New Listings

2006 has kicked off with the sale of 30% of the Government of Kenya's shareholding in the largest power generating company in Kenya, the Kenya Electricity Generating Company (KenGen), and the subsequent listing of the 659,508,437 shares on the Stock Exchange. The issue which is expected to raise an estimated gross amount of Kshs. 7.8 billion will be the largest initial public offering on the NSE and is a further vindication of the absorptive capacity of our market.

As a priority, we shall continue to reach out to our listed companies and institutions in the public and private sectors, through such business organizations like the Kenya National Chamber of Commerce and Industry (KNCCI), the Kenya Association of Manufacturers (KAM), the Federation of Kenya Employers (FKE), the Kenya Investment Authority (formerly the Investment Promotion Centre (IPC)), and the Tourism Trust Fund (TTF).

CHAIRMAN'S REPORT (continued)

Our aim is to demystify the market and highlight its value proposition as an avenue for raising medium to long term capital through the issuance of debt and equity.

With regards to the debt securities markets, we look forward to working more closely with the Central Bank of Kenya in order to increase secondary market activity, develop the yield curve, and encourage the corporate sector, parastatals and municipal authorities to follow the example set by the Government and issue paper of 5 and up to 10 year maturity. In the 1950s the Nairobi City Council issued municipal bonds. We do not see why this cannot once again be a reality, especially if the paper is structured for specific, well defined projects.

Cross Listing

On its part the Exchange wishes to facilitate regional capital flows by enabling firms in the region to use our platform to access capital. As a start, the East African Association of Securities Exchanges (EASEA) will develop a package of incentives, to be made available for a specified period of time, to those companies listed on the Main Investment Market Segment (MIMS) of the three East African Securities Exchanges, to enable them to simultaneously list their shares on all the three securities exchanges. Going forward, this will be used as an impetus to encourage corporates to simultaneously raise capital in all the three EAC markets.

Demutualisation

The second key milestone of our corporate plan is the demutualisation of the Exchange. The process should result in ownership and management rights being clearly identifiable and severable from the right to execute trades on the Exchange. The Exchange if its ownership so wished could even list itself. The Board of the Exchange shall keep the industry updated on progress and how far we wish to proceed in this direction.

Appreciation

On behalf of the Board, Management and Staff of the NSE, I would like to thank our listed companies, investors, market intermediaries, the Capital Markets Authority and the Government of Kenya, for your support in 2005.We also hope that our partners will continue playing their roles as we take the first step in achieving the objectives we have set in our 2006-2008 corporate strategy. I would like to end my address by quoting Confucius' famous quote and which is aptly relevant to the route that the NSE has decided to take; *"a journey of a thousand miles begins with a single step"*. In 2006, we look forward to walking in stride with our stakeholders, as we move towards our destination of becoming a world-class securities exchange.

Mr. M. H. da Gama-Rose
Chairman
NAIROBI STOCK EXCHANGE

BOARD OF DIRECTORS

Mirabeau Humberto da Gama–Rose

Mr. Da Gama Rose holds a Bachelor of Arts Degree from the University of Bombay and is a Barrister – at – Law, Advocate,the High Court of Kenya, Commissioner for Oaths and Notary Public.

He is the Chairman of the NSE Board. He holds other positions of responsibility such as; Chairman, Board of Directors of Commercial Bank of Africa Ltd. and First Assurance Company Ltd. His other directorships includes; Transparency International, Celtel Kenya Ltd., Equatorial Commercial Bank Ltd., Sameer Africa Ltd. and Eveready East Africa Ltd.

James Wangunyu

Mr. Wangunyu holds a Bachelor of Arts Degree in Economics from the University of Nairobi, Diploma in Banking and Certificate on Capital Markets Development from George Washington University.

He is currently the First Vice- Chairman of the NSE Board. He is the Chairman and Managing Director, Standard Investment Bank Limited. He is a Board Member and Treasurer of the Association of Kenya Stockbrokers (AKS). He was the Chairman of the Central Depository & Settlement Corporation Implementation Committee, Chairman Trading & Compliance Committee, a Board Member of the Business Conduct Committee of the CDSC.

Patrick Njeru Njerenga

Mr. Njerenga holds a Bachelor of Business Administration Degree and is a Certified Public Accountant.

He is the Second Vice - Chairman of the NSE Board. He is the Managing Director of Solid Investment Securities Limited. He holds various positions of responsibility at the NSE such as Chairman of Business Development & Publicity Committee, Member of the Finance and Trading Committee and, Association of Kenya Stockbrokers (AKS).

Patrick N. Gakiavi

Mr. Gakiavi has a Bachelor of Arts Degree Economics and a Diploma in Marketing.

He is the Managing Director of Nyaga Stockbrokers. He holds various positions of responsibility at the NSE as a Member of Trading and Compliance Committee, Finance Committee, Association of Kenya Stockbrokers, and previously, a Member of the Central Depository System Implementation Committee.

Edward O. Odundo

Mr. Odundo is a Finalist PhD degree student in Strategic Management at the University of Nairobi. He has an MBA degree in Strategic Management and Marketing and a well-accomplished Accountant and holds a BSc.Degree in Finance and Accounting.

He is currently the Chief Executive Officer of Retirement Benefits Authority (Kenya) and a Board Member of the Insurance Training and Education Trust. He has held various positions of responsibility such as: Commissioner of VAT; Founder and First Chairman, Forum of VAT Commissioners in Africa, and First Controller Kenya Revenue Authority.

Jimnah Mbaru

Mr. Mbaru holds a Masters in Business Administration, IMD (Lausanne), Switzerland, a Bachelor of Commerce (B.Com,Hons), and Bachelor of Law (LLB,Hons) Degree, University of Nairobi.

He is a renowned Investment Banker, Chairman and CEO, Dyer and Blair Investment Bank Limited, Nairobi and Kampala. He holds various positions of responsibility such as Member of the National Economic and Social Council; Member, Advisory Council, University of Stellenbosch Business School, South Africa; Chairman Jitegemee Trust, and Association of Kenya Stockbrokers; and Board Member, Faculty of Commerce, University of Nairobi.

Esther Jepkemboi Koimett

Ms Koimett has a Master of Business Administration Degree from the University of Nairobi and, a Bachelor of Commerce Degree – Accounting Option (Hons), from the University of Nairobi.

She is the Investment Secretary – Ministry of Finance. Her other directorships include: Safaricom Limited, Kenya Ports Authority, Mumias Sugar,Telkom Kenya Limited and Kenya Railways Corporation.

Ndung'u Gathinji

Mr. Gathinji is an advocate of the High Court of Kenya and holds a Law Degree from the University of Nairobi. He is a Fellow of the Institute of Chartered Accountants in England and Wales (FCA), FFCA, FCPA (K) and CPS (K).

He is the Chairman of Francis Drummond Investment Bank Limited and Chief Executive Officer of the Eastern, Central and Southern African Federation of Accountants (ECSAFA) and Chairman - International Federation of Accountants (IFAC) Developing Nations Committee. He is the immediate past Chairman of African Stock Exchanges Association (ASEA).

Jackson Johnson Githaka

Mr. Githaka holds a Master of Business Administration in Strategic Management from Moi University. Postgraduate Diploma in Mass Communication & Development from University of Nairobi.

He is the Managing Director – Kenya Reinsurance Corporation Limited. He holds various positions of responsibility such as: Director & Vice Chairman, Africa Reinsurance Corporation (Lagos), PTA Reinsurance Company (Nairobi) and African Insurance Organisation (Doaula – Cameroon).

David Michael Njoroge

Mr. Njoroge holds a Bachelor of Commerce (Accounting Option) from University of Nairobi and is a Certified Public Accountant (Strathmore College).

He is currently the General Manager of Hima Cement Limited Uganda and responsible for Bamburi Group IT, Rehabilitation and Corporate Affairs. He was previously the Group Finance Director Bamburi Group (Kenya).

BOARD COMMITTEES

- Audit
- Finance and Manpower
- Trading and Compliance
- Business Development and Publicity
- Listing
- Strategy
- Disciplinary.

MANAGEMENT TEAM

Left to right: *D. Wainaina (Mgr. Trading), A.Wachira (Mgr. Compliance), C. Njoroge (Head of Trading), D.Ouma (Mgr. Research), K. Kandie (Head of Finance & Admin.), C. Mwebesa (Chief Executive), A. Githiaka (Chief Accountant), R. Mambo (Head of Compliance & CS), C. Macheso (Mgr. Audit), F. Ndegwa (Head of Business Development), J. Mwaniki (Mgr. IT)*

C. Mwebesa

CHIEF EXECUTIVE'S REPORT

On behalf of the staff and management of the Nairobi Stock Exchange, I am pleased to present a brief on the performance of the Nairobi Stock Exchange (NSE) for the year ending 31December 2005 and my first as the Chief Executive of the Exchange.

Operating Economic Environment

Driven by strong performance in trade, tourism and communications and despite the drought which affected agricultural output, GDP growth is expected to be just over 5.0 percent for 2005. This is the best performance in several years and will result in improved corporate earnings for the period under review and into 2006. However, at the NSE we believe that economic growth will remain within our base case scenario of 4.5-5.5 per cent in 2006, instead of expanding to 6.0 per cent because of the effects of the drought on farm production and the prospect that falling water levels in dams could spark power shortages.

Overall inflation closed the year at 6.0 per cent, with consumer price inflation averaging 10.3 per cent during the period under review. Headline inflation could tend upwards to about 12 per cent in 2006, if the drought continues to bite. The upside risk is further compounded if there are further increases in energy prices.

The 91-day treasury bill rate closed at 8.14 per cent on 26 December 2005 and the average annual interest rate on the 91 day treasury bill was 8.44 per cent. We forecast that short term interest rates will stabilize at around 7-9 per cent because of continued budgetary support by the donor community, and high liquidity in the economy coupled with the presumption that the government reallocates already projected expenditure to famine relief and does not increase domestic borrowing.

As you will see below, the performance of the exchange, particularly the equity market in 2005 certainly hedged our investors against headline inflation by providing inflation beating returns way in excess of the risk free rate on the Treasury Bill.

Corporate Actions and New Issues of Capital

The market continues to demonstrate how both the Government of Kenya and the country's corporate sector can access the capital markets to enable them achieve their obligations to the Kenyan public, their shareholders, regulators and other stakeholders.

Even though we did not host an equity initial public offering (IPO), the year saw numerous corporate activities at the Exchange, with listed companies raising additional capital and/ or simply restructuring their shareholding structures as a means of becoming more efficient and effective.

The reorganisation of the East African tourism assets of the Serena brand, under a holding company, through the delisting of TPS Serena and the subsequent listing of 89,865,588 ordinary shares of the holding company - TPS Eastern Africa, was one of the more complex transactions that took place at the exchange. The transaction has been concluded with the new shares being listed on the 15th of March 2006.

BOC Kenya, a company incorporated in Kenya and with industrial operations in the East Africa region, announced its intention to takeover effective control of Carbacid Investments, another company listed on the Nairobi Stock Exchange. At the time of going to press this transaction was still ongoing but preliminary reports indicated that it will be a resounding success.

In the financial services sector, Diamond Trust Bank completed a bonus issue of 25,000,000 ordinary shares each with a par value of Kshs. 5.00 whilst the CFC Bank rights issue to raise Kshs. 744 million was also concluded. Both capital raising activities achieved their primary objective of enabling the respective banks to comply with the prudential requirements of the Central Bank of Kenya.

In the media and broadcasting sector, there was the Nation Media Group's bonus issue of 17,826,315 ordinary shares while the retail sector saw the successful re-capitalisation of Uchumi Supermarkets as a measure to reduce debt and pay its suppliers. The rights issue was over-subscribed by 5.8% raising Kshs. 1.269 billion.

Going forward, 2006 promises to be an even more promising year for the equity market. In addition to the ongoing KenGen IPO, we also expect the introduction of one of Kenya's fastest growing, domestically owned banks, Equity Bank, onto the official list of the Exchange. The Scanad Group Limited is also planning to list its shares on the Exchange through an IPO.

CHIEF EXECUTIVE'S REPORT (continued)

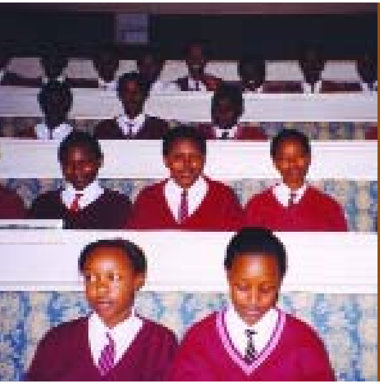
The Group which has interests in a number of advertising companies including Lowe Scanad, Thompson Kenya, and McCann Kenya is the largest media and advertising company in East Africa.The listing will provide a previously unavailable investment opportunity in East Africa's fast expanding media and advertising sector. Most importantly, it highlights our market's and indeed our economy's growing sophistication. It is also a pointer to the fact that the services sector is growing and that increasingly, as the economy diversifies from agriculture and manufacturing, the market will be able to value intellectual and human capital.

During the year to 31 December 2005, the Government of Kenya listed 18 treasury bonds with a face value of Kshs. 74.84 billion; outstanding treasury bonds on the Stock Exchange were 66 with a face value of Kshs. 216.75 billion.

We had a good year for listed corporate debt with Faulu Kenya, PTA Bank, Athi River Mining and more recently Celtel Kenya listing corporate bonds with a total face value of Kshs. 5.8 billion. I must also mention that the Athi River Mining bond was the first unsecured corporate bond to be listed on the Exchange, being priced solely on the underlying credit rating of the issuer.

Shelter Afrique received approval from the Capital Markets Authority and the Exchange to go to the market and raise and subsequently list unsecured medium term notes with a face value of Kshs. 500.0 million. The unsecured medium term notes, which will be fully redeemed in 2009, will be listed in two tranches on a floating rate basis. The first tranche of Kshs. 200.0 million to be issued in January 2006 and the second tranche of Kshs. 300.0 million which has the option of being issued on a floating or fixed basis to be listed in April 2006.

The Stock Exchange believes that the potential of the capital markets has yet to be fully utilised. We had estimated that the market had an annual capacity to absorb up to Kshs. 66.85 billion in new issues. However in 2005, capital raising activities in the bond market alone resulted in capital raising activity worth Kshs. 74.84 billion, 12.0 per cent above our previous estimates.



CHIEF EXECUTIVE'S REPORT (continued)

Corporate Governance

Corporate Governance can be defined as, ***"A set of rules that define the relationship between shareholders, managers, creditors, the government, employees and other internal and external stakeholders with respect to their rights and responsibilities, or the system by which companies are directed and controlled. The objective of corporate governance is to create added value to the stakeholders."***

The Capital Markets Authority issued Corporate Governance Guidelines in 2002, which companies listed on the Nairobi Stock Exchange are encouraged to adhere to. In addition to this, the Nairobi Stock Exchange is committed to the continuous development of Corporate Governance in Kenya through initiatives like the FiRe award which attracts entrants from both listed and non – listed companies.

Initially, only few companies were interested in actively engaging in the promotion of corporate governance especially as new obligations of a non – binding nature were imposed on the companies. However with increased education, awareness and initiatives such as the FiRe Award, it has become imperative for companies to engage in corporate governance as the benefits derived are quite evident for the growth of a company.

On Friday 7 October 2005 at the Carnivore grounds, the Nairobi Stock Exchange (NSE) in partnership with the Capital Markets Authority (CMA) and Institute of Certified Public Accountants (ICPAK) joined over 600 participants to celebrate winners of excellence in financial reporting. The participants were companies that are either public or private but who are brought together by the need to have peerage recognition. As a custodian of wealth mobilisation in Kenya, the NSE is proud to spearhead economic and social development through the promotion of responsible and accountable corporate behaviour.

Our strategic focus in this award is "to institutionalize and inspire integrity, transparency and confidence in corporate Kenya." The brand, FiRe Award – a True Flame of Excellence has grown in stature since its successful launch in 2002.

The number of participating organizations has steadily increased from 61 to 84 over the period. The award has since become the premier annual event in the calendar of corporate Kenya.

Companies which practice good corporate governance benefit by broadening and deepening the sources of capital for the company because investors are willing to invest in, or lend to a firm with a good corporate governance record. A firm can access the capital markets with the assurance that its request for debt or

CHIEF EXECUTIVE'S REPORT (continued)

equity capital will be met by a variety of investors, because investors are assured that the management of the firm will effectively utilize the funds provided in order to ensure the investors are adequately compensated for lending the firm funds.

Corporate Social Responsibility

During the year, the Nairobi Stock Exchange (NSE) was a major destination for potential investors, a reflection that Kenyans have acknowledged the importance of the stock market as a key economic driver. Through our youth education, we had some 5,531 young people attending our Youth Investment Education Program. The program allows the youth to enjoy a series of benefits that we hope will encourage them to become positive thinkers and start investing early through the NSE. The program allows the participants to visit the stock market and view live trading at the NSE public gallery, interact with veteran investors, lecture on the history, operations, market players, new developments and benefits of investing in shares and bonds. The youth are from colleges, universities and secondary schools across the different provinces of the country.

Since its introduction, the program has changed the way the young investors view the bourse. The program was also introduced because the NSE recognizes that the youth under 30 years of age constitute over 70 per cent of Kenya's population. This segment of the population has considerable potential to contribute to the development of the nation. The economic exclusion of young people alienates them from the national and ownership agenda, resulting in a culture of hopelessness.

We hope to change this scenario and during the five years that the program has been in operations, we are delighted to see many young investors begin to trade and dominate our public gallery during trading hours.

As Kenya prepares to host the Youth Employment Summit (YES 2006) from September 13 to 16, 2006 - to discuss how young people can be productively engaged- the NSE looks forward to partner with the newly created Ministry of Youth Affairs to promote youth entrepreneurship through the stock exchange.

CHIEF EXECUTIVE'S REPORT (continued)

Overall Financial Performance

The Nairobi Stock Exchange reported its highest ever annual net surplus, powered by record trading in equities. The net surplus increased by 179.8 per cent from Kshs. 10.02 million to Kshs. 28.0 million, fuelled by a 42.0 per cent rise in the transaction levy to Kshs. 88.7 million. The transaction levy contributes 60.6 per cent of the 2005 operating income of Kshs. 146.27 million.

Operating income from annual, initial and additional listing fees rose by 11.6 per cent from Kshs. 50.91 million to Kshs. 56.8 million and contributed 38.9 per cent of operating income compared to 44.78 per cent in the prior period. This is in line with the Exchange's strategy to increase revenue generated from trading listed securities whilst rationalising costs of raising capital and maintaining a listing for listed companies. Administration expenses increased by 17.2 per cent to Kshs. 104.6 million as the Exchange realised efficiencies in both managing its assets and streamlining operations, resulting in increased productivity per employee.

Appreciation

The Exchange wishes to acknowledge the support of the Government of Kenya for the incentive received in the fiscal year ending 30 June 2005, whereby newly listed companies will now pay corporation tax at a lower rate of 20 per cent, for a period of 5 years, provided these companies offer at least 40 per cent of their shares to the Kenyan public. We can not fail to mention the Capital Markets Authority as having raised the bar in responding to applications for capital raising and listings.

I would like to end by thanking the Board for its guidance, the management and staff for their hard work, and our clients and service providers for their continued support and loyalty.

Mr. Chris Mwebesa
Chief Executive
NAIROBI STOCK EXCHANGE

SUMMARY OF OPERATIONS

Trading Performance

Statistics gathered during the period under review indicate that 2005 was another record breaking year for the Exchange.

Equity Market

The NSE 20 Share Index rose by 34.9 per cent from 2,945.58 on 31 December 2004 to touch 3,973.04 on 31 December 2005. During the corresponding period, market capitalisation moved from Kshs. 314.15 billion to Kshs. 462.48 billion, a rise of 47.22 per cent, whilst equity turnover rose by 63.61 per cent moving from Kshs. 22.32 billion to Kshs. 36.52 billion. The volume of shares traded rose by 39.8 per cent from 625.3 million to 874.2 million.

Debt Market

However, fixed income securities trading was disappointing, with bond turnover recording a drop of 60.16 per cent from Kshs. 34.1 billion recorded for the year ending 31 December 2004 to Kshs. 13.59 billion for the year ending 31 December 2005. This was due to the sharp rise in short term interest rates in the last quarter of 2004. Interest rates seem to have stabilised in the range of 7.0- 9.0 per cent and we anticipate that in the coming year, if interest rates continue to remain stable, trading in debt securities may rebound to and even exceed the levels last seen in 2004.

In anticipation of even greater activity going forward, and as already mentioned by our Chairman, the NSE will commission an automated trading system (ATS) during the second quarter of 2006. The project is already underway and when completed will be fully compatible with the Central Depository System (CDS).

Strategic Marketing Plan 2006-2008

The strategic marketing plan 2006 -2008 is anchored on two key corporate objectives of the NSE 3-year corporate plan, SWOT analysis and competition. The strategic marketing plan aims to be the key driver of the NSE Mission, Vision and Values.

The plan's strategic objectives are twofold;to increase trading activity to 60% of market capitalization which stood at Kshs. 462.48bn (USD 6.39bn) as at 30 December 2005. As at this date, trading activity was 7.9% of market capitalization; two - to Increase market size to 150% of GDP. Our market size was about 45% of GDP by end of 2005.

SUMMARY OF OPERATIONS (continued)

During the year 2006 and beyond, the NSE will roll out innovative infrastructure, products, services and programs in line with the situation analysis findings.

Compliance & Legal

In the year 2005, the Company Secretary's Department changed its name to the Compliance & Legal Department. This is in line with the recognition and emphasis the NSE now places on two primary roles at the NSE which are, 1) to uphold and ensure compliance by market participants with the Laws of Kenya, the Rules and Regulations of the CMA and the NSE., and 2) - to provide the NSE and market participants with legal guidance.
Over time, we have played a key role in providing legal expertise to the Central Depository & Settlement Corporation (CDSC) and the drafting of the rules and procedures of the CDSC which went live in November 2004. The compliance and legal function continues to provide key support in terms of legal expertise, drafting of Trading Rules and implementation process of the Automated Trading System (ATS) that is in progress.

In 2005, we managed the key compliance activities namely: review of 18 securities in the Fixed Investment Securities Market Segment (FISMS) valued at Kshs.74.80 billion and 4 applications for additional listings - Uchumi Supermarkets, CFC Bank Limited, Nation Media Group and Diamond Trust Bank Limited.

In addition we reviewed a number of corporate actions which included the cross listing of East African Breweries Limited in Uganda, the intention by BOC Kenya to acquire effective control of Carbacid Kenya Limited and the proposed share exchange offer of Tourist Promotions Services Limited (TPSL) shares for those of TPS Eastern Africa and the subsequent delisting of TPSL.

To deepen compliance in the marketplace, Next year we will host a workshop targeted at listed companies - to discuss and receive feedback about the experience of being listed and sentiments on continuous listing obligations requirements as provided by the NSE and CMA Rules and Regulations.

We will also commence the implementation of an automated compliance system that shall improve the efficiency of ensuring compliance by market participants.

In addition and in line with our three year corporate strategy, we will be engaged in preparing the legal framework for the demutualisation of the stock exchange, the process through which the NSE shall change its ownership structure and become a listed company as well.

SUMMARY OF OPERATIONS (continued)

Internal Audit

The Internal Audit department is charged with the mandate of identifying opportunities to strengthen internal controls and improve operating efficiencies, identifying business risks and ensuring they are properly addressed, as well as identifying opportunities to enhance governance in accordance with international best practice.

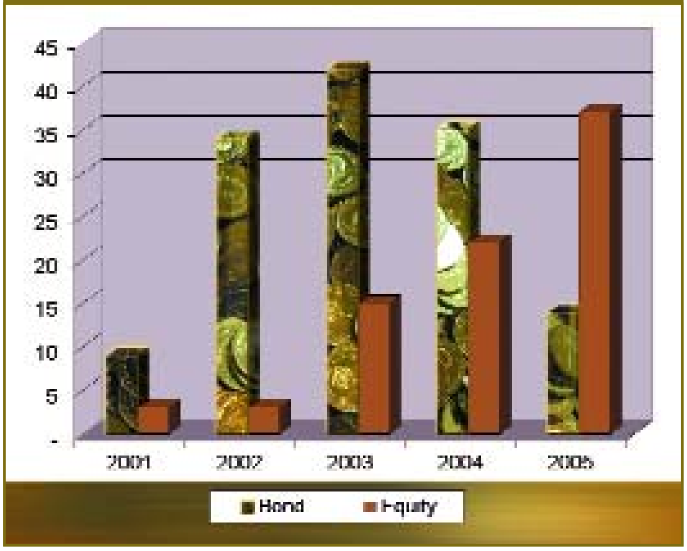
In view of this, an Audit and Corporate Governance Committee was set up by the NSE Board and is chaired by a non-executive director. The Committee meets quarterly and when need arises. The Committee plays the key role of reinforcing best practice in Corporate Governance particularly in areas of internal controls and risk management.

The functions of the Audit and Corporate Governance Committee include:

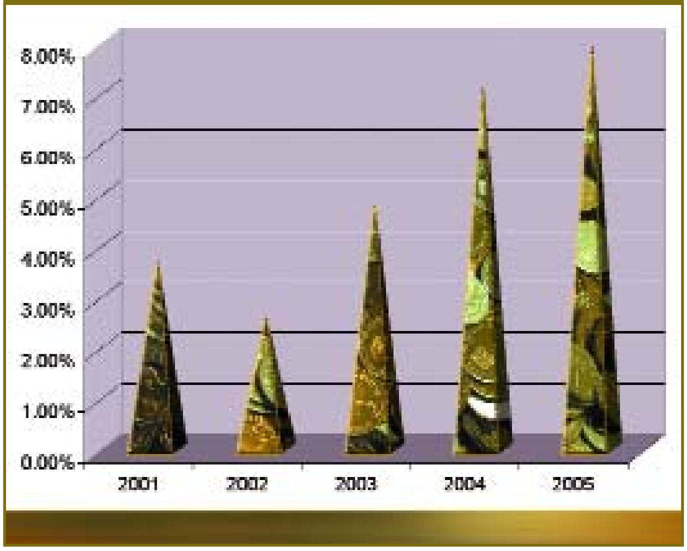
- Defining responsibilities of the Internal audit function;
- Ensuring that systems of internal control are soundly conceived and effectively administered
- To seek assurance that effective control systems are in place and are regularly monitored;
- Reviewing financial statements and improving the quality of financial reporting;
- Deliberating on issues arising from the internal and external audits;
- Strengthening the effectiveness of the internal and external audit functions.

FIVE YEAR REVIEW

Turnover (Kshs Bn)

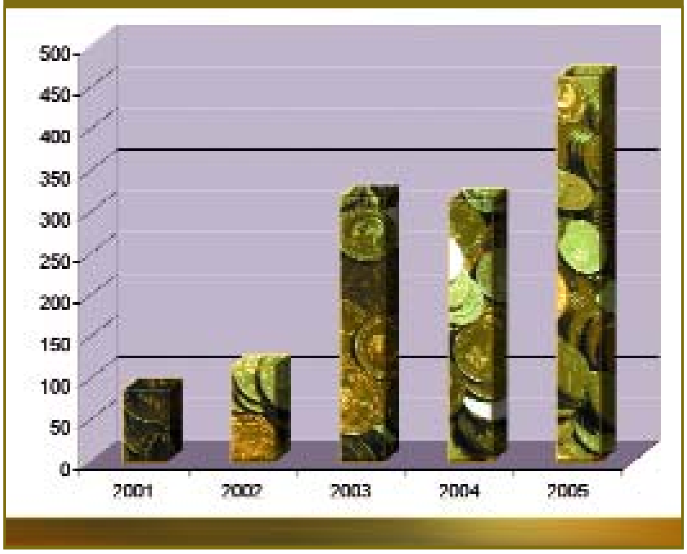


Market Liquidity



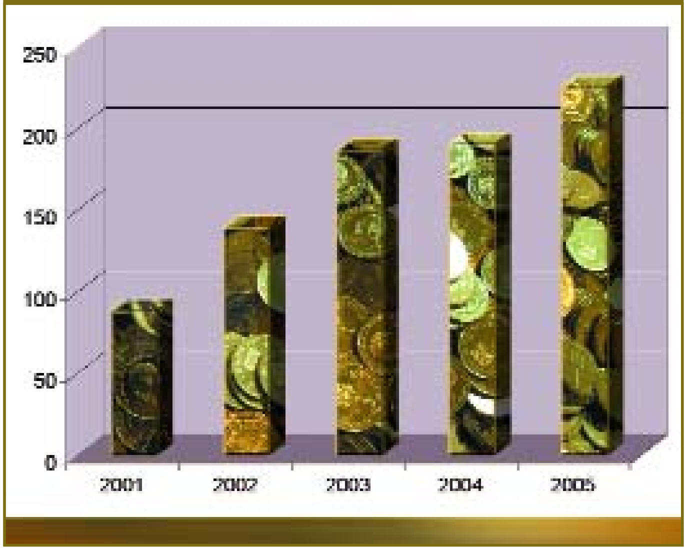
NSE 20 Share Index

Market Capitalisation - Equity (Kshs Bn)

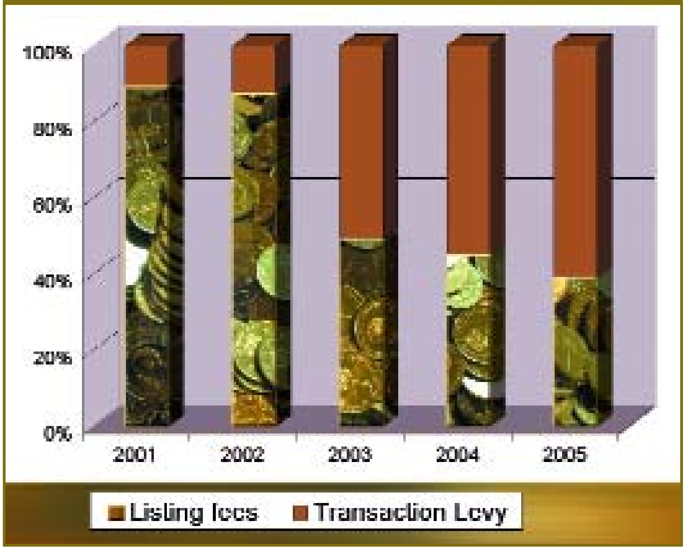


FIVE YEAR REVIEW (continued)

Market Capitalisation - Bonds (Kshs Bn)

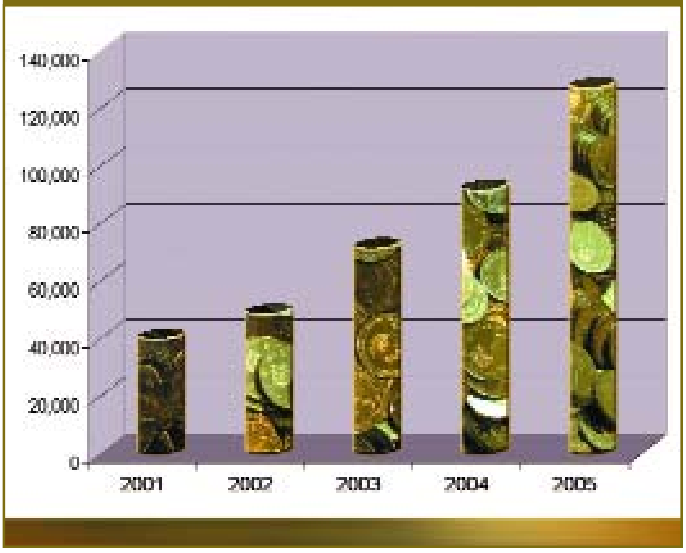


Main Components of Operating Income (%)



Operating Income vis-a-vis Expenses

Total Assets (Kshs '000)



FIVE YEAR RECORD

	2005	2004	2003	2002	2001
NSE Index	3,973	2,946	2,738	1,363	1,355
Market Capitalisation (Shs'000)					
Equity Capitalisation	462,520,000	314,150,000	317,890,000	112,500,000	86,000,000
Bond book value	225,375,000	190,217,000	186,902,000	139,034,000	87,100,000
Total Market capitalisation	687,895,000	504,367,000	504,792,000	251,534,000	173,100,000
Market Turnover (Shs'000)					
Equity turnover	36,606,290	22,321,055	15,251,146	2,883,779	3,160,000
Bond turnover	13,590,497	34,553,410	41,985,460	33,728,500	9,400,000
Total Market Turnover	50,196,787	56,874,465	57,236,606	36,612,279	12,560,000
Operating results (Shs'000)					
Operating income	146,270	113,675	85,001	62,780	80,426
Administrative expenses	(104,613)	(89,226)	(83,258)	(67,844)	(85,745)
Gross operating surplus /(deficit)	41,657	24,449	1,743	(5,064)	(5,319)
Other income	2,033	5,881	1,801	7,047	4,467
Operating deficit/surplus	43,690	30,330	3,544	1,983	(852)
Exceptional item		(16,030)			
Surplus/deficit before tax	43,690	14,300	3,544	1,983	(852)
Taxation	(15,656)	(4,279)	(2,120)	(1,340)	212
Net surplus/(deficit)	28,034	10,021	1,424	643	(640)
Total assets	127,079	91,509	71,174	48,307	49,580
Members Funds	69,524	41,490	31,469	30,045	30,652

DIRECTORS' REPORT

The directors submit their report and the audited financial statements for the year ended 31 December 2005 which show the state of the company's affairs.

COUNTRY OF INCORPORATION AND REGISTERED OFFICE

The company is limited by guarantee and incorporated in Kenya under the Companies Act. The address of its registered office is:

Nairobi Stock Exchange Limited
Nation Centre
PO Box 43633-00100
NAIROBI

PRINCIPAL ACTIVITIES

The company is the sole stock exchange, licensed by the Capital Markets Authority to provide a facility for the issue, purchase and sale of securities in Kenya. Nairobi Stock Exchange as a self-regulatory organization is involved in the development and operation of an efficient securities market.

RESULTS

The surplus after tax for the year is Shs.28,034,000 (2004: Shs.10, 021,000).

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the limited options available in Kenya to hedge against such risks.

DIRECTORS' REPORT (continued)

The directors who held office during the year and to the date of this report were:

M.H.da Gama Rose - (Chairman)
J.Wangunyu - (1st Vice Chairman)
P.Njerenga - (2nd Vice Chairman)
C.Mwebesa - (Chief Executive from 21st February 2005)
K. Kariithi - (Chief Executive until 18th February 2005)
N.Gathinji
Esther Koimett
David Njoroge
P. Gakiavih
W.Olotch - (Retired 16th August 2005)
J.M.Mbaru
E. Odundo - (Elected 16th August 2005)
J.Githaka - (Elected 16th August 2005)

Mrs. E. Koimett, Mr. D. Njoroge, Mr. P. Njerenga and Mr. J. Wangunyu retire by rotation and being eligible offer themselves for re-election.

SECRETARY

Rose Mambo
P O Box 43633-00100
Nairobi

AUDITORS

Ernst & Young have expressed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap 486).

By order of the Board

………………………….

SECRETARY

21.03.2006

STATEMENT OF DIRECTORS' RESPONSIBILITIES ON THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2005

The Companies Act requires the directors to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

…………………………..

DIRECTOR

…………………………..

DIRECTOR

21.03.2006
…………………………..

Date

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF NAIROBI STOCK EXCHANGE LIMITED

We have audited the financial statements on pages 26 to 29, for the year ended 31 December 2005, which have been prepared on the basis of the accounting policies set out on pages 30 and 42. We obtained all the information and explanations, which we considered necessary for our audit.

RESPECTIVE RESPONSIBILITIES OF THE DIRECTORS AND THE INDEPENDENT AUDITORS

As stated on page 23, the directors are responsible for the preparation of financial statements, which give a true and fair view of the state of the affairs of the company and of its operating results. Our responsibility is to express an independent opinion on the financial statements based on our audit and to report our opinion to the members.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance that the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. It also includes assessing the accounting principles used and significant estimates made by the directors, as well as evaluating the overall financial statements presentation. We believe that our audit provides a reasonable basis for our opinion.

OPINION

In our opinion, proper books of account have been kept and the financial statements, which are in agreement therewith, give a true and fair view of the state of the financial affairs of the company at 31 December 2005 and of its surplus and cash flows for the year then ended and comply with International Financial Reporting Standards and the Companies Act (Cap 486) of the laws of Kenya.

Ernst & Young

Nairobi

22.03.2006

FINANCIAL STATEMENTS

INCOME AND EXPENDITURE ACCOUNT

FOR THE YEAR ENDED 31 DECEMBER 2005

	Note	2005 Shs'000	2004 Shs'000
Operating income	2	146,270	113,675
Administrative expenses		(104,613)	(89,226)
Gross operating surplus		41,657	24,449
Other income	3(a)	38	5,514
Operating surplus	4	41,695	29,963
Interest income		1,995	367
Exceptional item	3(b)	–	(16,030)
Surplus before tax		43,690	14,300
Taxation	6	(15,656)	(4,279)
Net surplus for the year		28,034	10,021

BALANCE SHEET AS AT 31 DECEMBER 2005

ASSETS	Note	2005 Shs'000	2004 Shs'000
Non Current Assets:			
Equipment	9	25,711	8,287
Intangible assets	10	485	262
Investment in associates	11	20,000	20,000
Deferred tax	12	-	2,569
		46,196	31,118
Current Assets:			
Trade and other receivables	13	27,891	30,551
Deposit for Automated Trading System project	14	24,843	9,249
Receivable from CDSC Limited Investors	15	2,500	6,497
Marketable securities	16	-	5,000
Cash and cash equivalents	17	25,649	9,094
		80,883	60,391
Investor Compensation Fund Investment	8	8,898	20,167
Investor Compensation Fund		(8,898)	(20,167)
		-	-
TOTAL ASSETS		**127,079**	**91,509**
MEMBERS FUNDS AND LIABILITIES			
Members' Funds and Reserves:			
Members' fund	7	19,640	19,640
Accumulated surplus		49,884	21,850
		69,524	41,490
Non Current Liabilities:			
Deferred tax	12	184	-
Current Liabilities:			
Annual listing fees received in advance	18	6,953	8,566
Trade and other payables	19	41,952	36,927
Provision for liabilities and charges	20	734	1,208
Tax payable		7,732	3,318
		57,371	50,019
TOTAL MEMBERS' FUNDS AND LIABILITIES		**127,079**	**91,509**

The financial statements were approved by the Board of Directors on 17.03.2006 and signed on its behalf by:

....

Secretary

....

Directors

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2005

	Members' fund Shs'000	Accumulated surplus Shs'000	Total Shs'000
For the year ended 31 December 2004			
1 January 2004	19,640	11,829	31,469
Net surplus for the year	-	10,021	10,021
31 December 2004	19,640	21,850	41,490
For the year ended 31 December 2005			
1 January 2005	19,640	21,850	41,490
Net surplus for the year	-	28,034	28,034
31 December 2005	19,640	49,884	69,524

CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2005

	Note	2005 Shs'000	2004 Shs'000
Operating activities			
Cash generated from operations	23	36,245	7,300
Tax paid		(8,489)	(23)
Net cash from operating activities		27,756	7,277
Investing activities			
Purchase of equipment and computer software	9 & 10	(22,582)	(2,266)
Receivables from CDSC Limited investors		3,997	-
Interest received		1,995	367
Proceeds from redemption of marketable securities		5,000	(5,000)
Proceeds from disposal of equipment		389	-
Net cash absorbed in investing activities		(11,201)	(6,899)
Increase in cash and cash equivalents		16,555	378
Movement in cash and cash equivalents			
At start of year		9,094	8,716
Increase		16,555	378
At end of year	17	25,649	9,094

1. ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below:

a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards. They are prepared under the historical cost convention, as modified by the carrying value of certain investments at fair value.

b) Revenue recognition

Initial listing income is recognised in the year in which the company makes the floatation.

Additional listing income is recognised during the year in which the issuing company makes announcement of the bonus/rights issues.

Transaction levy income is based on the percentage of the value of shares traded and is recognised on the dates of the transactions.

Annual listing fee is computed on the basis of the daily weighted average capitalisation value of the listed securities for 11 months period of between 1 January – 30 November.

c) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date that are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the income and expenditure account in the year in which they arise.

d) Equipment

All equipment is stated at historical cost less depreciation.

Depreciation is calculated on the straight line basis to write down the cost of each asset to its residual value over its estimated useful life as follows:

Motor vehicles	4 years
Furniture fittings and partitions	8 years
Office equipment	4 years
Computer equipment	4 years

Gains and losses on disposal of equipment are determined by reference to their carrying amounts and are taken into account in determining operating surplus.

e) Intangible assets

Intangible assets represent computer software which is stated at cost less amortisation. Amortisation is calculated to write-off computer software on a straight-line basis over the estimated useful life of 4 years.

f) Trade receivables

Trade receivables are carried at original invoiced amount less an estimate made for doubtful receivables based on a review of all outstanding amounts at year end. Bad debts are written off in the year in which they are identified.

g) Investments

The company adopted IAS 39 on 1 January 2001 and classified its investments into available for-sale investments. Management determines the appropriate classification of its investments at the time of the purchase and re-evaluates such designations on a regular basis.

Investments intended to be held for an indefinite period of time, but which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale. These are included in non-current assets unless management has the express intention of holding the investment for less than 12 months from the balance sheet date or unless they will need to be sold to raise operating capital.

All purchases and sales of investments are recognised on the transaction date, which is the date the company commits to purchase or sell the asset. Cost of purchase includes transaction costs. Available-for-sale investments are subsequently carried at fair value, whilst originated loans are carried at amortised cost using the effective yield method.

h) Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the balance sheet date.

i) Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

j) Retirement benefit obligations

The company operates a defined contribution provident scheme for all its employees. The scheme is administered by British American Insurance Company (Kenya) Limited and is funded from contributions from both the company and employees. The company's contributions to the defined contribution provident scheme are charged to the profit and loss account in the year to which they relate.

The company also contributes to a statutory contribution pension scheme, the National Social Security Fund (NSSF). The company's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Shs. 200 per month per employee. The company's contributions are charged to the profit and loss in the year in which they relate.

2. OPERATING INCOME

	2005 Shs'000	2004 Shs'000
Transaction levy	88,697	62,480
Annual listing fees	47,934	42,757
Initial listing fees	8,152	6,873
Additional listing fees	748	1,279
Other income	739	286
	146,270	113,675

3. OTHER INCOME

	2005 Shs'000	2004 Shs'000
(a) Miscellaneous		
Agency fee – CDSC	-	5,366
Sponsorship income (social bond forum)	-	120
Miscellaneous income	38	28
	38	5,514
(b) Exceptional item		
Golden Jubilee/ASEA Conference		
Sponsorship income	-	11,467
Expenditure	-	(27,497)
	-	(16,030)

4. OPERATING SURPLUS

The following items have been charged in arriving at operating surplus:-

	2005 Shs'000	2004 Shs'000
Depreciation on equipment (Note 10)	4,803	3,047
Amortisation on intangible assets (Note 11)	123	260
Contribution to pension scheme (Note 6)	4,399	3,050
Auditors' remuneration (inclusive of VAT)	650	650
Directors' emoluments:-		
Non- executive	4,486	3,945
Executive	7,234	6,615

5. STAFF COSTS

The following items are included within staff costs:

	2005 Shs'000	2004 Shs'000
Retirement benefit costs-defined contribution plans	4,399	3,050

The number of persons employed by the company, at the year end was 49 (2004:55).

6. TAXATION

	2005 Shs'000	2004 Shs'000
Current tax	12,903	4,228
Deferred tax (Note 12)	2,753	51
	15,656	4,279

The tax on the company's surplus before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	2005 Shs'000	2004 Shs'000
Surplus before tax	43,690	14,300
Tax calculated at a tax rate of 30%	13,107	4,290
Tax effect of:		
Tax effects on items not deducted for tax	2,369	1,498
Tax effects on items deducted for tax	(2,573)	(1,245)
Over provision in previous year	-	(315)
Originating and reversing temporary differences	2,753	51
Tax charge	15,656	4,279

7. MEMBERS' FUND

The company is limited by guarantee.

	2005 Shs'000	2004 Shs'000
Members Funds	19,640	19,640

8. INVESTOR COMPENSATION FUND

Investor Compensation Fund (ICF) represent amounts set aside to compensate investors for pecuniary losses suffered due to the failure of a stockbroker, dealer or investment bank carrying out stock-broking business or dealing operations, to meet its contractual obligations. The fund is derived from a levy charged at 0.01% of the value of securities traded at the Exchange and penalties, which are charged to stockbrokers for failure to comply with the delivery and settlement rules.

The movement in the compensation fund is as follows:

	2005 Shs'000	2004 Shs'000
At start of year	20,167	15,578
Movement during the year:		
Levy from stock brokers	425	4,505
Net (loss)/ income from investments	(50)	1,109
Penalties from stock brokers	-	165
CDSC Guarantee Fund	(11,644)	(1,190)
Net movement	(11,269)	4,589
At end of year	8,898	20,167

The ICF funds were transferred to the CDSC Guarantee Fund and the funds have been fully transferred subsequent to year end.

9. EQUIPMENT

	Motor Vehicles Shs'000	Furniture & Fittings Shs'000	Office Equipment Shs'000	Computer Equipment Shs'000	Total Shs'000
Cost:					
At start of year	2,003	26,098	5,959	20,555	54,615
Disposals		(9)		(380)	(389)
Additions	5,737	208	3,598	12,693	22,236
At end of year	7,740	26,297	9,557	32,868	76,462
Depreciation:					
At start of year	2,003	24,362	5,900	14,063	46,328
Adjustment on disposal				(380)	(380)
Charge for the year	1,076	304	449	2,974	4,803
At end of year	3,079	24,666	6,349	16,657	50,751
Net book value:					
At 31 December 2005	**4,661**	**1,631**	**3,208**	**16,211**	**25,711**
At 31 December 2004	**-**	**1,736**	**59**	**6,492**	**8,287**

No depreciation has been charged in arriving at the results for the year in respect of certain fully depreciated equipment with a cost of Shs.45,679,919 (2004 - Shs.45,521,303) which are still in use. If depreciation had been charged during the year on the cost of these assets at normal rates, it would have amounted to Shs.8,461,769 (2004 - Shs.10,981,982).

10. INTANGIBLE ASSET

	2005 Shs'000	2004 Shs'000
Computer software at cost		
Cost:		
As at 1 January	4,366	4,295
Additions	346	71
As at 31 December	4,712	4,366
Amortisation:		
As at 1 January	4,104	3,844
During the year	123	260
As at 31 December	4,227	4,104
Net book value:	**485**	**262**

11. INVESTMENT IN ASSOCIATES

The investment represents the amounts paid by Nairobi Stock Exchange (NSE) for the 20% proportionate shareholding in the Central Depository and Settlement Corporation (CDSC) Limited called up shares. The directors believe that this amount approximates the fair value of the investment.

An associated company, Central Depository and Settlement Corporation (CDSC) Limited, which was incorporated in 1999, has been fully charged with the responsibility of carrying out clearance and settlement, depository and registry of shares and other security instruments with effect from 1 March 2005.

The operating results of the CDSC Limited have not been incorporated in the current year's financial statements, as it commenced trading in November 2004 and has not yet produced a set of audited financial statements for 2005. The company is an associate.

12. DEFERRED TAX

Deferred tax is calculated on all temporary differences under the liability method using a principal tax rate of 30%. The movement on the deferred tax account is as follows:

	2005 Shs'000	2004 Shs'000
At start of the year	2,569	2,620
Income statement charge (Note 6)	(2,753)	(51)
At end of year	(184)	2,569

	1.1.2005 Shs'000	Charged to P/L Shs'000	31.12.2005 Shs'000
Deferred tax asset/liability			
Provisions	363	689	(326)
Accelerated tax depreciation	2,206	2,064	142
Net deferred tax asset	2,569	2,753	(184)

13. TRADE AND OTHER RECEIVABLES

	2005 Shs'000	2004 Shs'000
Stock brokers	13,458	13,218
Receivables from related companies (Note 25(iii))	10,117	10,117
Prepayments and deposits	2,285	2,072
Loan to the executive director (Note 25 (i))	-	969
Other receivables	2,031	4,175
	27,891	30,551

14. DEPOSIT FOR AUTOMATED TRADING SYSTEM PROJECT

This represents a deposit paid to the company that will develop the software for Automated Trading System.

15. RECEIVABLE FROM CDSC LIMITED INVESTORS

	2005 Shs'000	2004 Shs'000
Uganda Securities Exchange	-	1,065
Dar es Salaam Stock Exchange	2,500	2,500
AKS Nominees Limited	-	2,932
	2,500	6,497

This represents amount paid by the Exchange on behalf of Uganda Securities Exchange, Dar es Salaam Stock Exchange and AKS Nominees Limited for their proportionate called up shareholding in CDSC Limited. The Uganda Securities exchange and long term portion of the AKS Nominees Ltd. outstanding was fully paid in the year. The short term portion of the AKS Nominees Limited loan is shown under transactions with related parties(note 25(iii)).

16. MARKETABLE SECURITIES

	2005 Shs'000	2004 Shs'000
Treasury Bonds	-	5,000

The treasury bond had a term of two years and a face value of KShs.5,000,000. It attracted interest at a fixed rate of 4.25% that was paid semi-annually.

17. CASH AND CASH EQUIVALENTS

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, deposits held at call with banks, and investments in treasury bills and bonds maturing within 90 days of acquisition as follows:

	2005 Shs'000	2004 Shs'000
Cash at bank and in hand	25,649	9,094

18. ANNUAL LISTING FEES RECEIVED IN ADVANCE

The annual listing fees are billed in advance and accrued over the year for accounting purposes. There is therefore always an amount received prior to year end.

19. TRADE AND OTHER PAYABLES

	2005 Shs'000	2004 Shs'000
Capital Markets Authority	595	1,206
Accrued expenses	30,372	28,790
Amount due to AKS Nominees Ltd..	-	925
Investor Compensation Fund	746	2,477
Other payables	10,239	3,529
	41,952	36,927

20. PROVISION FOR LIABILITIES AND CHARGES

	2005 Shs'000	2004 Shs'000
At start of the year	1,208	882
Increase in provisions	(474)	326
At end of year	734	1,208

The provision relates to annual leave earned but not yet taken by staff. The balance at 31 December 2005 is inclusive of additional provision during the year.

21. CONTINGENT LIABILITIES

At 31 December 2005, the company had no contingent liabilities in respect of bank and other guarantees and other matters arising in the ordinary course of business. The company is not involved in any litigation that may lead to any significant loss.

22. CAPITAL COMMITMENTS

At the balance sheet date, the company had the following capital commitments:

Authorised and contracted	**2005 Shs'000**	**2004 Shs'000**
Investments in Automated Trading System (ATS)	21,979	31,323

23. CASH GENERATED FROM OPERATIONS

Reconciliation of surplus before tax to cash generated from operations:

	2005 Shs'000	**2004 Shs'000**
Surplus before tax	43,690	14,300
Adjustments for:		
Depreciation (Note 10)	4,803	3,047
Amortisation (Note 11)	123	260
Gain on sale of equipment	(380)	
Interest income (Note 5)	(1,995)	(367)
Changes in working capital:		
Trade and other receivables	(12,934)	(16,936)
Trade and other payables	3,412	6,670
Provisions for liabilities and charges	(474)	326
Cash generated from operations	36,245	7,300

24. RELATED PARTY TRANSACTIONS

As at 31 December 2005, the company had 15 member stockbrokers and 6 licensed investment banks. At 31st December 2004, the company had 16 member stockbrokers and 5 licensed investment banks.

i) Loan to the executive director

	2005 Shs'000	2004 Shs'000
At start of year	969	1,347
Loan repayment received	(969)	(378)
At end of year	-	969

The loan that had been advanced to the former executive director was charged interest at the rate of 8.23% (2004: 3.4%) per annum.

ii) Directors emoluments

	2005 Shs'000	2004 Shs'000
Non- executive	4,486	3,945
As executives	7,284	6,615

iii) Outstanding balances arising from transactions with related parties

	2005 Shs'000	2004 Shs'000
Net receivables from AKS Nominees (short term)	2,831	1,455
Net receivable from CDSC Limited	7,286	8,662
	10,117	10,117

The amount receivable from AKS Nominees is the balance of the amount paid by NSE on its behalf for the proportionate called up shareholding in CDSC. The amount was advanced for a term of three years at an interest rate of Barclays Bank base-rate plus 2% p.a.

The CDSC receivable is a short-term advance to CDSC and charges for office services rendered by NSE. The advance attracts an interest rate of 13.5% and is repayable within one year.

iv) Transactions with stock brokers

The company charges investors a transactions levy of 0.12% (2004: 0.14%) and 0.14% on non immobilised shares, of the value of securities traded at the exchange (turnover). During the year, the total turnover was Shs 73,212,580,272 (2004 : Shs 44,641,814,764) resulting in a transaction levy of Shs 88,695,233 (2004 : Shs 62,479,830). An additional 0.01% is charged to investors and credited to the compensation fund (Note 9). These amounts are collected by the stock brokers as agents.

All related party transactions are at arms length.

25. FAIR VALUES OF FINANCIAL ASSETS

In the opinion of the directors, the fair values of the financial assets of the company approximate their carrying amounts due to the generally short periods to contractual repricing or maturity dates.

Weighted average effective interest rates at 31 December 2005 were as follows:

	2005	2004
	%	%
Treasury bills/bonds	-	4.29
Short term deposit	4.87	5.50

26. COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in the presentation in the current year.

These financial statements are presented in Kenya Shillings (Shs) and are rounded to the nearest Shs 1,000.

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